company-sponsored research? Like so many other phases in the investment field, these matters cannot be answered by mathematical formulae. Each case is different.

The profit margin on defense contracts is smaller than that of nongovernment business, and the nature of the work is often such that the contract for a new weapon is subject to competitive bidding from government blueprints. This means that it is sometimes impossible to build up steady repeat business for a product developed by government-sponsored research in a way that can be done with privately sponsored research, where both patents and customer goodwill can frequently be brought into play. For reasons like these, from the standpoint of the investor there are enormous variations in the economic worth of different government-sponsored research projects, even though such proj-ects might be roughly equal in their importance so far as the benefits to the defense effort are concerned. The following theoretical example might serve to show how three such projects might have vastly different values to the investor:

One project might produce a magnificent new weapon having no non-military applications. The rights to this weapon would all be owned by the government and, once invented, it would be sufficiently simple to manufacture that the company which had done the research would have no advantage over others in bidding for a production contract. Such a research effort would have almost no value to the investor.

Another project might produce the same weapon, but the technique of manufacturing might be sufficiently complex that a company not participating in the original development work would have great diffi-culty trying to make it. Such a research project would have moderate value to the investor since it would tend to assure continuous, though probably not highly profitable, business from the government.

Still another company might engineer such a weapon and in so doing might learn principles and new techniques directly applicable to its regular commercial lines, which presumably show a higher profit margin. Such a research project might have great value to the investor. Some of the most spectacularly successful companies of the recent past have been those that show a high order of talent for finding complex and technical defense work, the doing of which provides them at government expense with know-how that can legitimately be transferred into profitable non-defense fields related